

Your First Month at a New Job

A money checklist for job switches —
PF transfer, insurance, full-and-final, all of it.

Before we start

A job switch touches more money admin than people expect — old employer settlement, new employer paperwork, insurance continuity, and PF transfer, all within a short window. Miss any of these and it either costs you money directly, or costs you hours untangling it months later.

1. Closing out with your old employer

Item	What to check
Full and final (F&F;) settlement	Verify every line — unpaid salary, leave encashment, any bonus owed, and any deductions (notice pay shortfall, unreturned assets).
Gratuity	Applicable if you completed 5+ years of continuous service — confirm it's included if eligible.
Leave encashment	Taxable for private-sector employees — check the amount and how it's being taxed in your F&F.;
Form 16	Request this once TDS for the year is finalised — you'll need it to file, especially since you'll have income from two employers this year.
Relieving letter	Needed for your new employer's records and for future background checks.

2. Transferring your PF — don't withdraw it

- **Use the same UAN.** Your Universal Account Number stays with you for life — give it to your new employer instead of applying for a new one.
- **Submit a transfer request** through the EPFO portal or your new employer's HR/payroll system, usually within the first few weeks.
- **Check your EPFO passbook** a month or two later to confirm the transfer actually completed — it doesn't always happen automatically just because you requested it.
- **Don't withdraw** unless you have a specific, unavoidable need. Withdrawing before 5 years of combined service can make the amount taxable, and resets long-term compounding you'd otherwise keep.

3. Insurance continuity

- **Health insurance gap.** Your old employer's group policy typically ends on your last working day. If your new employer's policy has a waiting period before it activates, you may have a genuine coverage gap — a personal policy avoids this entirely.
- **Life/term insurance is unaffected** by a job switch if it's a personal policy — but double-check if you were relying on an employer-provided group term policy, since that usually ends too.
- **Port, don't just re-buy,** if you want to preserve continuity benefits (like waiting periods already served) from an old personal policy when switching insurers.

4. New employer paperwork, week one

Item	Why it matters
Investment declaration	Declare planned 80C/80D investments early so TDS is calculated correctly through the year, instead of a large correction later.
Tax regime declaration	State your regime choice for TDS purposes — you can still choose differently when actually filing, but this avoids over/under-withholding through the year.
Bank account details	Confirm salary account details are correctly updated, especially if you're using a different account than your last job.
PAN and Aadhaar	Ensure both are correctly linked in the new employer's payroll system.
Nomination details	Update nominee details for the new employer's PF, gratuity, and any group insurance.

5. Understanding your new offer's specifics

- **Joining bonus tax treatment.** A joining bonus is fully taxable as salary income in the year received — factor this in when estimating your actual take-home for that month.
- **Bonus recovery clauses.** Many joining bonuses have a clawback if you leave within a set period — read this clause before assuming the bonus is unconditionally yours.
- **Relocation allowance.** Check whether it's a reimbursement (usually more tax-efficient) or a fixed taxable allowance added to your salary.
- **CTC vs take-home gap.** Recalculate your expected monthly take-home from the new CTC — see the "First Payslip Playbook" ebook for the rough conversion method.

6. Mistakes people make during a switch

- **Letting PF sit unclaimed** in an old UAN instead of transferring — easy to forget, harder to untangle years later.
- **Assuming health coverage is continuous** without checking the actual gap between old and new employer policies.
- **Not budgeting for a gap month** if there's a delay between your last paycheck and your first one at the new company.
- **Skipping the investment declaration** at the new employer, leading to much higher TDS deductions for several months until it's corrected.

7. Quick answers to common questions

Do I need two Form 16s if I switch jobs mid-year?

Yes — one from each employer for the period you worked there. You'll need both to file an accurate return covering your full-year income.

Will I be taxed twice on the same income across two employers?

Not if you file correctly — but each employer only sees their own portion of your income for TDS purposes, so your total tax liability is reconciled properly only when you file your return, not automatically.

How soon should I request my PF transfer?

As soon as you have your new employer's PF details, ideally within the first few weeks — delays add up if not initiated promptly.

8. Your first-month checklist

- ✓ Verify every line of your old employer's F&F; settlement before signing off.
- ✓ Request your Form 16 from the old employer once available.
- ✓ Submit a PF transfer request using your existing UAN.
- ✓ Check for any health insurance coverage gap and bridge it if needed.
- ✓ Complete your investment and tax regime declaration with the new employer.
- ✓ Confirm bank account, PAN, and nomination details are correctly updated.

This ebook is a planning aid, not legal or tax advice. Settlement processes and timelines vary by employer — confirm specifics with your HR team and a tax professional where needed.